

# The End of Prediction, Inc.?

**I** COME NOT TO praise forecasters, but to bury them.

After these many years of listening to their nonsense, it is time for the investing community—and indeed, the seers themselves—to admit the error of their ways. Most forecasters are barely cognizant of what happened in the past. And based on what they say and write, it is apparent they often do not understand what is occurring here and now.

There's no reason to imagine that they have the slightest clue about the future.

Economists, market strategists, and analysts alike suffer from an affinity for making big, frequently bold—and typically wrong—pronouncements about what is to come. This has a pernicious impact on investors, who allow this guesswork to infiltrate their thinking, never for the better.

I have been beating this drum for two decades. What say we finally put a fork in Prediction, Inc.?

There is a forecasting-industrial complex, and it is a blight on all that is good and true. The symbiotic relationship between the media and Wall Street drives a relentless parade of money-losing tomfoolery: Television and radio have 24 hours a day they must fill, and they do so mostly with empty nonsense. Print has column inches to put out. Online media may be the worst of all, with an infinite maw that needs to be constantly filled with new and often meaningless content.

Just because the beast must be fed, does not mean you must be dragon fodder.

The other partner in this mutually beneficial dance is the financial products industry. Forecasting is simply part of its marketing strategy. There are two principal approaches to meeting the media's endless demand for unfounded guesses about the future. Let's call them: a) Mainstream; and b) Outlier.